

23STCV15703 23STCV15703

County: los-angeles

Division: Civil Law and Motion

Department: 408

Hearing date: 2026-06-23

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Case Number: 23STCV15703 Hearing Date: June 23, 2026 Dept: 408

Plaintiff Norma Sarkin's Motion to Reinstate Action is

GRANTED. Attorney's Fees and Costs are AWARDED in favor of Plaintiff and

against Defendant in the amount of \$5,234.23.

I.

BACKGROUND

On July 6, 2023, Plaintiff Norma Sarkin

("Plaintiff") filed a complaint against Defendant Pella Window and

Door Showroom of South Pasadena ("Defendant") alleging causes of action for:

1.

Breach

of Contract;

2.

Quantum

Meruit;

3.

Intentional

Misrepresentation;

4.

Negligent

Misrepresentation; and

5.

Common

Count – Money Had and Received.

On September 18, 2023, the court granted Defendant's

Motion to Compel Arbitration and Stay Proceedings.

On April 23, 2026, Plaintiff filed this Motion to

Reinstate Action and Request for Fees and Costs. On June 9, 2026, Defendant

filed an opposition. On June 15, 2026, Plaintiff filed a reply.

II.

LEGAL STANDARD

"Sections 1281.97 and 1281.98 each prescribe procedures for payment and

remedies for nonpayment of arbitration fees and costs by the drafting party,

i.e., the company or business that included a predispute arbitration provision

in a contract with a consumer or employee." (Williams v. West Coast

Hospitals, Inc. (2022) 86 Cal.App.5th 1054, 1065.) “Both sections provide that a drafting party who fails in its obligation to pay fees and costs required to initiate or continue the arbitration within 30 days after the due date is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.” (Id., at 1066.) “Consequently, even where an arbitration has commenced, the employee or consumer may unilaterally elect[,] among other alternatives, to [w]ithdraw the claim from arbitration and proceed in a court or appropriate jurisdiction.” (Ibid.) “If the consumer elects to proceed in court to commence or resume litigation, the consumer must . . . seek vacatur of a prior order compelling arbitration and staying the litigation.” (Ibid.)

III.

DISCUSSION

Plaintiff moves to withdraw from arbitration, lift the stay, and reinstate the instant action pursuant to California Code of Civil Procedure section 1281.98 on the grounds that Defendant failed to pay the required arbitration fees within 30 days of the due date. (Motion, at pp. 1-2.)

In support, Plaintiff provides that the

parties selected the Arbitration

Mediation Conciliation Center (“AMCC”) and Thomas Craigo (“Craigo”) as the

first arbitrator following the court granting Defendant’s Motion to Compel

Arbitration and Stay Proceedings. (Motion, at p. 2; Plumtree Decl., ¶¶ 5-6,

Exh. 2.) On March 17, 2025, AMCC circulated the requisite invoices to be paid

prior to proceeding with a site inspection of the Subject Property. (Motion, at

p. 2; Plumtree Decl., ¶ 8, Exh. 3.) On April 2, 2025, AMCC informed the parties

that it did not receive payment on the invoice and that the site inspection had

to be placed on hold until the payment was made. (Motion, at p. 3; Plumtree

Decl., ¶ 9, Exh. 4.) On May 5, 2025, AMCC again inquired about payment on the

invoice and stated that “[a]bsent an affirmative response and payment in full

for all past services by close of business Friday, May 9, 2025, Mediator Craigo

has indicated he will withdraw from this case.” (Motion, at p. 3; Plumtree

Decl., ¶¶ 10-11, Exh. 5.) On May 13, 2025, AMCC advised that Craigo withdrew

from the matter and requested the matter be reassigned due to lack of payment

and progress. (Motion, at p. 3; Plumtree Decl., ¶ 12.) Subsequently, the

parties agreed to select David Schlueter (“Schlueter”) as the successor

arbitrator and set an arbitration date for February 26, 2026. (Motion, at p. 3;

Plumtree Decl., ¶¶ 13-14.) On October 24, 2025, AMCC sent the parties their

respective invoices related to the arbitration, which represented an advanced

deposit, and were due upon receipt. (Motion, at p. 3; Plumtree Decl., ¶ 15, Exh. 6.) On November 24, 2025, AMCC sent a reminder email advising that if payment of the invoices was not received by December 5, 2025, the arbitration would be subject to cancellation. (Motion, at p. 3; Plumtree Decl., ¶ 17.) On December 8, 2025, AMCC informed the parties that “[AMCC has] not received adequate payment information from Pella to move forward with the Arbitration currently set on February 26, 2026. Accordingly, this date will be removed from calendar absent payment received by AMCC.” (Motion, at pp. 3-4; Plumtree Decl., ¶ 18, Exh. 7.) In response, Defendant’s counsel represented that payment was being processed and requested AMCC to hold the arbitration date. (Motion, at p. 4; Plumtree Decl., ¶ 19, Exh. 8.) Nevertheless, on January 7, 2026, AMCC informed the parties that the arbitration was being cancelled, specifically stating: “As of today, January 7, 2026, our office has yet to receive payment from Pella to move forward with the Arbitration currently set on February 26, 2026. Accordingly, this date has been cancelled and removed from Arbitrator Schlueter’s calendar. We will reschedule only upon receipt of payment.” (Motion, at p. 4; Plumtree Decl., ¶ 20, Exh. 9.)

Code of Civil Procedure section

1281.97 provides that “[i]n an employment or consumer arbitration that requires

. . . the drafting party to pay certain fees and costs before the arbitration

can proceed, if the fees or costs to initiate an arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel arbitration under Section 1281.2.” (Code Civ. Proc., § 1281.97, subd. (a)(1).) “If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may . . . [w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction.” (Code Civ. Proc., § 1281.97, subd. (b).) The same applies to fees assessed during the pendency of an arbitration. (Code Civ. Proc., § 1281.98, subd. (a)-(b).)

Until

recently, the courts of appeal had generally required strict enforcement of Section 1281.97 and 1281.98. However, in *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, the California Supreme Court held that Section 1281.98 of the Code of Civil Procedure is not as unforgiving as lower courts had interpreted it. (*Hohenshelt*, supra, 18 Cal.5th 310.) The statute, the court reasoned, had been enacted “against the backdrop of longstanding statutes” and principles under which nonperformance of a contractual duty is generally excusable unless the nonperformance is “willful, fraudulent, or grossly negligent.” (*Id.*, at 323.) Therefore,

a drafting party that has not acted willfully, fraudulently, or grossly negligently in failing to make payment of required arbitration fees may be relieved from their waiver of their right to arbitration upon payment of reasonable expenses, including attorney's fees and costs, incurred because of the breach. (Id., at 333, 344 ["if the drafting party acted in good faith, it may seek relief under [section 473, Civil Code section 3275, or Civil Code section 1511] and its claim should be evaluated under the usual principles in law and equity governing relief from forfeiture or default, including whether the other party has been prejudiced."].) In making its decision, the California Supreme Court disapproved of several lower court decisions to the contrary, including *Suarez v. Superior Court* (2024) 99 Cal.App.5th 32, *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, *Doe v. Superior Court* (2023) 95 Cal.App.5th 346, *Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621, and *Williams v. West Coast Hospitals, Inc.* (2022) 86 Cal.App.5th 1054. (Id., at 349.)

Plaintiff argues that Defendant's

failure to pay its arbitration fees was willful, grossly negligent, and

fraudulent. (Motion, at pp. 7-9.) Plaintiff contends that Defendant failed to pay

the required fees despite various warnings, opportunities, and extensions to

pay; Defendant's failure to pay led to the first arbitrator to withdraw from the dispute and to the cancellation of a scheduled arbitration with the second arbitrator constituting a patter of willfulness and gross negligence; and Defendant fraudulently represented that a payment was being processed. (Ibid.)

In opposition, Defendant argues that its failure to pay the arbitration fees was due to a good faith mistake, inadvertence, and excusable neglect. (Opp., at pp. 7-8.) In support, Defendant provides that, on December 8, 2025, Defendant's counsel confirmed to AMCC that Payment had been made for the retainer on December 4, 2025. (Beshay Decl., ¶ 35, Exh. Y.) However, shortly thereafter, Defendant's counsel's office discovered that, through inadvertence and mistake, payment had not been completed. (Id., ¶ 36.) Defendant then issued an overnight check to AMCC on January 23, 2026, which was delivered on January 30, 2026. (Id., ¶ 37, Exhs. Z-AA.)

The court finds that Defendant's failure to pay the arbitration fees due was willful, grossly negligent, or fraudulent and not the result of a good faith mistake, inadvertence, or other excusable neglect. As an initial matter, Defendant fails to provide any justification for its initial failure to pay the fees due leading to the first arbitrator withdrawing from the matter. (Plumtree Decl., ¶

12.) Moreover, Defendant merely states that its failure to pay AMCC for the arbitration date of February 26, 2026, was through inadvertence and mistake without providing sufficient detail for the court to make such determination. (Beshay Decl., ¶ 36.) Without more, the actual untimely payment of fees does not demonstrate a good faith mistake, inadvertence, or other excusable neglect. The court also notes that although Defendant argues that Plaintiff caused delay in the efforts to complete arbitration, there is no indication that such delay preempted Defendant from paying its fees when due.

Accordingly, Defendants are stripped of their right to arbitration. (Code Civ. Pro., § 1281.98, subd. (a)(1); Hohenshelt, *supra*, 18 Cal.5th 310, 349.)

Plaintiff

further requests \$5,234.23

in

attorney's fees and costs incurred since the case was compelled to arbitration in September 2023. (Motion, pp. 10-11.) The court finds the requested amount is reasonable considering Defendants' failure to timely pay the arbitration fees and the delay in completing arbitration as a result.

IV.

CONCLUSION

Plaintiff Norma Sarkin's Motion to Reinstate Action

is GRANTED. Attorney's Fees and Costs are AWARDED in favor of Plaintiff and

against Defendant in the amount of \$5,234.23.